Optimizing Profit Potential in Southeast Asia

Name: Rahul Pant

Student Number: [redacted]

Module: ST2187 Business analytics, applied modelling and prediction (2025-26)

Word Count: 1469 /1500

Executive Summary

This report evaluates profitability within the Asia-Pacific (APAC) region, with a detailed focus on Southeast Asia (SEA). Although APAC generates the highest revenue, profit conversion varies significantly across regions and categories. The analysis identifies Tables in the Furniture category as the main cause of sustained losses in SEA.

Cross-country and cross-segment analyses confirm that these losses are recurring rather than isolated. Operational factors such as shipping cost, order priority, and shipping mode do not explain the underperformance. Excessive discount is identified as the primary driver of the decline in profit margins.

Discount sensitivity analysis demonstrates that higher discount rates increase sales volume but disproportionately reduce profit margins. A simulated enhanced discounting practice scenario suggests that moderate reductions in discount intensity can restore profitability while maintaining manageable impacts on revenue.

Although the enhanced discounting practice model incorporates price elasticity assumptions to approximate demand response, the results should be interpreted as scenario based rather than predictive. Nevertheless, the findings strongly support enhanced pricing and discounting discipline as the most effective mechanisms for restoring sustainable profitability in SEA for Tables.

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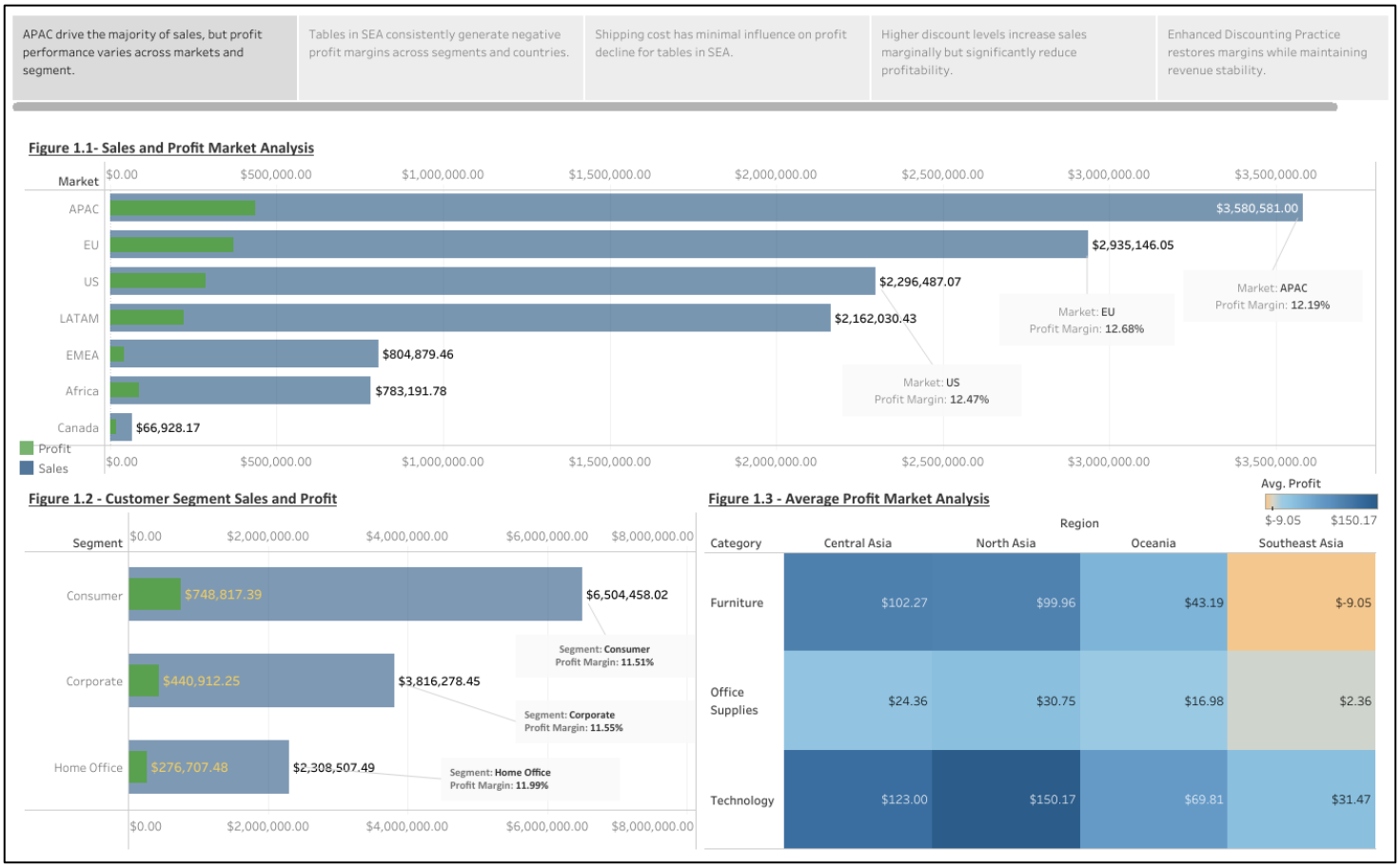
Introduction

This report assesses profitability in the Asia-Pacific (APAC) region, focusing on Southeast Asia (SEA), where strong revenue contrasts with the decline in profit margins in selected subcategories. Although APAC is the largest sales contributor, profitability varies across regions and product categories.

The analysis identifies Tables in the Furniture category as the primary source of sustained losses in SEA. Using regional comparisons, segment diagnostics, operational assessments, and discount sensitivity analysis, the report evaluates whether logistics, customer mix, or pricing strategy explains this underperformance.

The results indicate that excessive discount intensity, rather than shipping costs or demand weakness, leads to declining profit margins.

APAC Sales Strength Masking Regional Profitability Imbalances



1.1 - Overall Market Analysis of Profit and Sales

The Asia-Pacific (APAC) region generates approximately $3.58 million in sales, making it the strongest revenue contributor. However, higher revenue does not necessarily translate into stronger profitability. Although the European Union (EU) and the United States (US) also record substantial sales volumes, APAC records the lowest profit margin among the top three revenue-generating regions. This suggests that the region may be less effective at converting sales into profit

1.2 - Sales and Profit Analysis by Customer Segments

At the customer segment level, the Consumer segment dominates revenue, contributing approximately $6.5 million in sales and generating the highest profit. The Corporate and Home Office segments follow with sales volumes of approximately $3.8 million and $2.3 million, respectively. Profit margins remain consistent across segments, indicating that customer type is not the primary driver of margin differences.

1.3 - Analysis of Average Profit by Category and Sub-Region

The heatmap identifies areas where profitability challenges are concentrated. Within APAC, Southeast Asia notably underperforms in the Furniture category, exhibiting negative average profit of -$9.05. In contrast, Central Asia and North Asia demonstrate strong positive performance in the same category, $102.27 and $99.96 respectively, highlighting significant regional disparities. In Southeast Asia, profitability improves when moving from Furniture to Office Supplies and Technology, with Technology generating substantially stronger returns. North Asia consistently performs best across categories, particularly in Technology.

These findings demonstrate that profitability weakness is particularly Furniture in Southeast Asia.

Southeast Asia Profitability Breakdown: Tables as the Core Underperformer

APAC drive the majority of sales, but profit performance varies across markets and segment.

Tables in SEA consistently generate negative profit margins across segments and countries.

Shipping cost has minimal influence on profit decline for tables in SEA.

Higher discount levels increase sales marginally but significantly reduce profitability.

Enhanced Discounting Practice restores margins while maintaining revenue stability.

Figure 2.1 - Profit Margin of countries in SEA

Category	Sub-Catego..	Region / Country: Southeast Asia							
		Malaysia	Myanmar ..	Thailand	Vietnam	Philippines	Indonesia	Singapore	Cambodia
Furniture	Bookcases	29.75%	-12.93%	-24.78%	-25.18%	-11.33%	16.49%	16.79%	18.34%
	Chairs	14.57%	-6.81%	-3.38%	1.27%	3.13%	-2.38%	32.66%	24.18%
	Furnishings	21.19%	-12.52%	-5.52%	10.42%	4.22%	4.65%	23.35%	19.72%
	Tables		-76.47%	-71.86%	-68.38%	-49.94%	-32.86%	10.99%	34.01%
Office Supplies	Appliances	16.49%	12.54%	5.86%	15.34%	3.71%	12.29%	33.95%	33.02%
	Art	39.11%	2.55%	-32.02%	8.26%	-38.36%	-6.85%	29.92%	
	Binders	30.99%	10.24%	3.99%	19.67%	15.12%	12.15%	23.74%	26.79%
	Envelopes	35.06%	8.59%	-49.90%	21.47%	-37.43%	-35.07%	29.65%	23.70%
	Fasteners	19.38%	7.90%	-46.31%	16.81%	-38.70%	-44.78%	18.94%	14.20%
	Labels	27.20%	9.16%	-36.45%	12.07%	-28.18%	-36.26%	18.79%	17.72%
	Paper	33.82%	6.11%	-43.21%	15.67%	-40.32%	-44.45%	22.12%	5.92%
	Storage	33.79%	28.64%	-28.18%	12.06%	-40.28%	9.31%	16.81%	12.80%
	Supplies	32.26%	8.76%	-48.43%	7.22%	-48.81%	-45.58%	16.82%	19.12%
Technolo..	Accessories	34.72%	-26.32%	-31.30%	-54.23%	-35.51%	-38.78%	21.16%	23.99%
	Copiers	33.22%	-21.87%	-12.12%	-9.63%	-12.93%	18.33%	19.73%	23.75%
	Machines	31.20%	6.38%	13.04%	9.67%	-6.78%	13.14%	40.04%	31.73%
	Phones	25.41%	0.99%	10.47%	14.54%	0.48%	11.48%	26.95%	18.06%

Figure 2.2 - Ordered Average Profit Margin in SEA

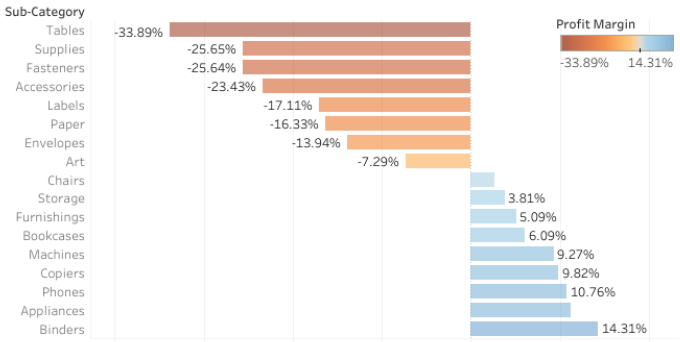
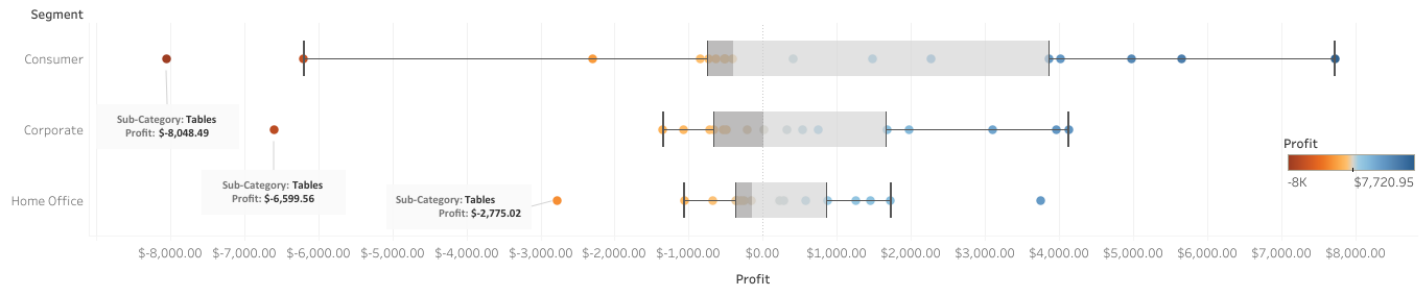


Figure 2.3 -Profit distribution between Customer Segment in SEA



2.1 - Profit Margin Performance across SEA

The regional heatmap reveals significant variation in profitability across Southeast Asian countries and subcategories. Within Furniture, Tables emerge as the most severe underperformer, recording substantial negative margins in multiple countries, sometimes exceeding 70%.

This pattern is consistent across countries, showing that the issue is consistent and not limited to the market. In contrast, other subcategories such as Appliances and Machines maintain stable or positive margins, ranging from 3% to 40%, indicating that the losses are specific to Tables rather than the entire market.

2.2 - Sub-Category Profitability Ranking in Southeast Asia

The ordered profit margin chart reinforces this finding. Tables rank as the worst-performing subcategory, with a margin of approximately -33.89%, significantly below all others. This indicates that regional performance is mainly caused by losses in Tables.

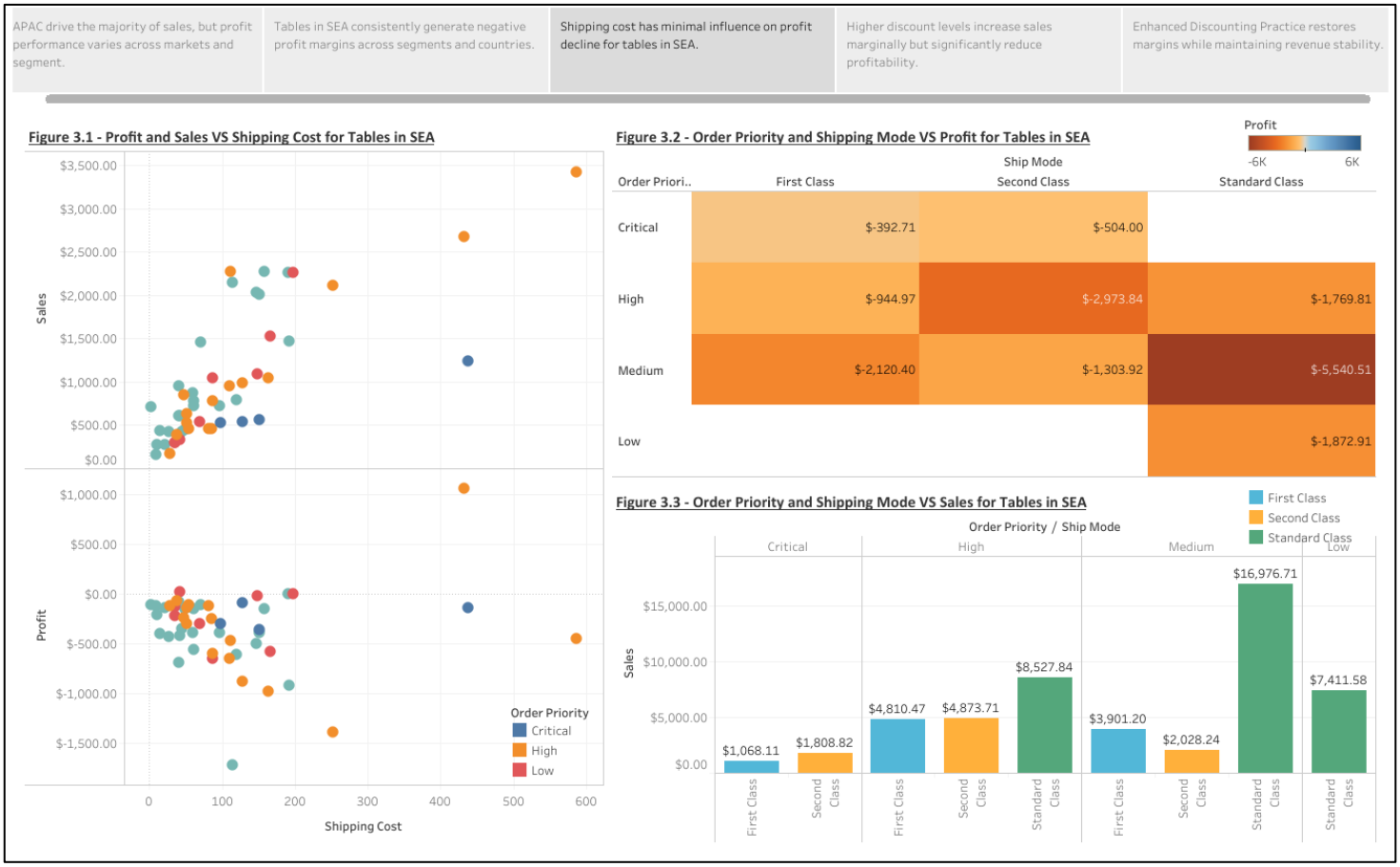
2.3 - Profit Distribution by Customer Segment in Southeast Asia

Profit distribution analysis across Consumer, Corporate, and Home Office segments further confirms that losses in Tables are consistent across customer types. Each segment exhibits negative profits for Tables, with the Consumer segment experiencing the largest absolute loss of approximately $8,048.

Importantly, the distribution of profits across segments indicates that while other products generate positive returns within each segment, Tables represent an extreme negative outlier in the profit distribution consistently.

Overall, SEA's profitability weakness is concentrated in Tables, with cross-country consistency and persistent losses indicating structural pricing pressure.

Operational Factors Analysis: Shipping and Order Priority Do Not Explain Losses



3.1 - Impact of Shipping Cost on Sales and Profit (Tables – SEA)

Scatter analysis reveals that higher shipping costs are associated with larger orders and higher sales values. However, this increase in sales does not translate into improved profitability. Most data points remain in negative profit territory across cost levels, indicating that shipping costs are not the primary driver of underperformance. Persistent negative profits across cost levels suggest a deeper pricing or margin issue within the Tables subcategory. There is no clear observable correlation between shipping cost and profit in the scatter plot, as losses occur across both low and high shipping cost levels.

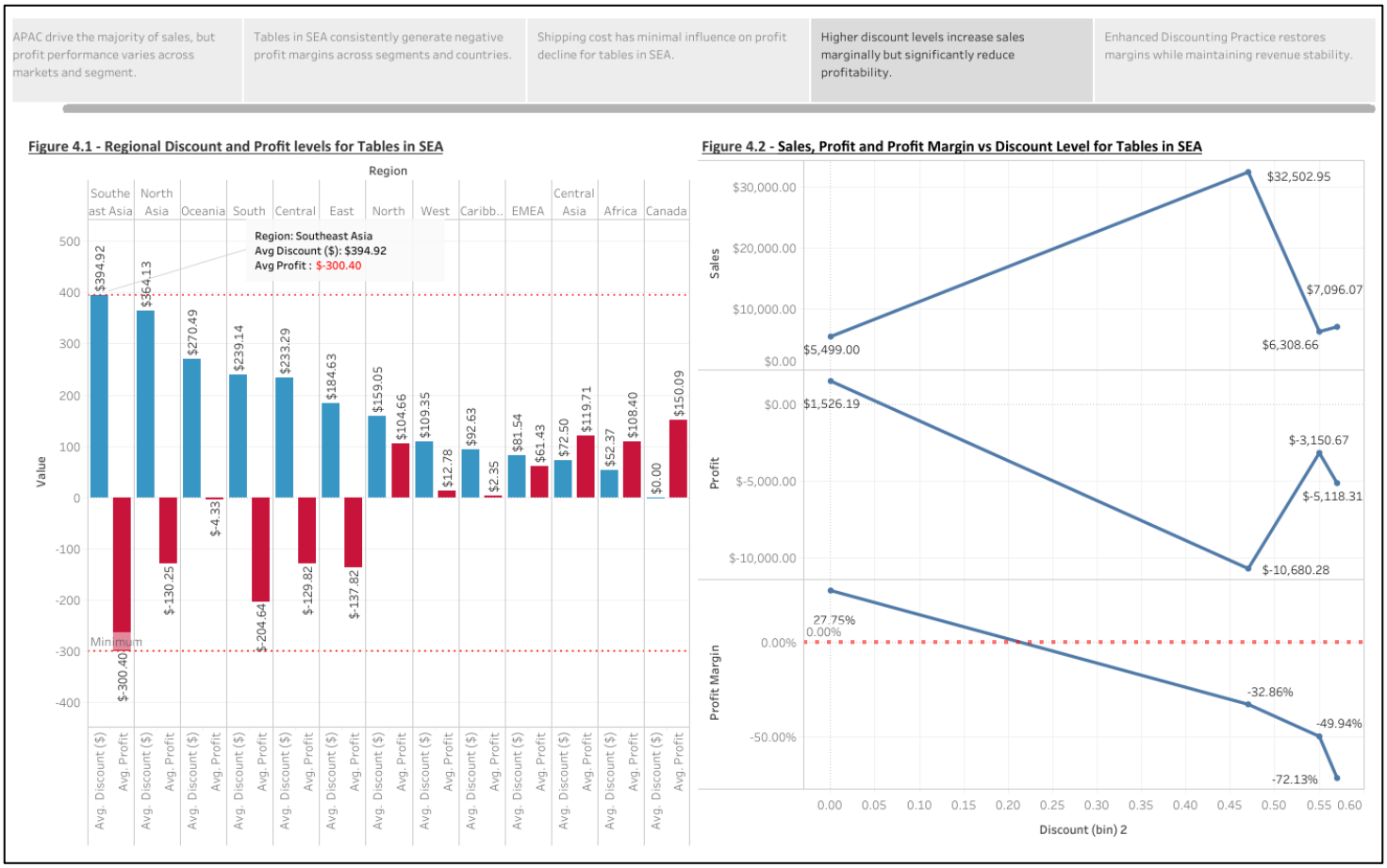
3.2 & 3.3 - Order Priority and Shipping Mode: Sales & Profit Comparison

The profit heatmap indicates losses across all combinations of order priority and shipping mode, with medium-priority orders shipped via Standard Class recording the largest losses. Notably, no shipping priority configuration consistently generates positive profits.

Compared with the sales distribution chart, Standard Class shipping generates the highest sales volumes across most priority levels. However, these high-volume combinations remain unprofitable.

Therefore, shipping configuration does not appear to materially influence profitability.

Discount Intensity as the Primary Driver of Negative Profit



4.1 - Regional Discount Intensity and Profitability for Tables

Regional comparison reveals a strong inverse relationship between discount levels and profitability for Tables. Southeast Asia exhibits the highest average discount, $394.92, while simultaneously recording the lowest average profit, $300.40. In contrast, regions with more moderate discount levels maintain positive average profits, ranging from $4.33 to $150.09.

This pattern indicates that Southeast Asia applies significantly heavier price reductions than other regions. However, this strategy does not yield sustainable returns. Instead, aggressive discounting reduces margins resulting in sustained losses. Other regions maintain profitability with lower discount intensity, indicating that better pricing control, rather than demand weakness, is the key differentiator.

4.2 - Sales, Profit, and Margin Sensitivity to Discount Levels

Discount analysis further reinforces this conclusion. At low or zero discount levels, Tables generate positive profit and a healthy profit margin of 27.75%. However, as discount levels increase, profit declines sharply and eventually becomes negative.

At mid-to-high discount ranges, 45% to 55%, sales increase significantly, peaking at $32,502.95. Despite this revenue growth, profit falls to substantial losses of -$10,680.28 and profit margins deteriorate to -32.86%. This demonstrates that while discounting increases sales volume, it excessively reduces margins, resulting in overall losses.

Even when sales remain relatively strong at higher discount levels, profitability does not recover. This suggests that incremental revenue generated from discounts is insufficient to offset the loss in profit margin. Therefore, the relationship is nonlinear and not sustainable in the long term.

Discounting is the dominant driver of financial underperformance in Southeast Asia Tables, as revenue gains from higher discount levels fail to offset margin compression.

This implies that restoring profit margins through controlled discounting would likely reduce extreme losses without significantly reducing revenue stability.

Simulation of Enhanced Discounting Practices

APAC drive the majority of sales, but profit performance varies across markets and segment.

Tables in SEA consistently generate negative profit margins across segments and countries.

Shipping cost has minimal influence on profit decline for tables in SEA.

Higher discount levels increase sales marginally but significantly reduce profitability.

Enhanced Discounting Practice restores margins while maintaining revenue stability.

Figure 5.1 - Actual Profit Margin Accross Countries in SEA

Profit Margin: -76.47% – 40.04%

Category	Sub-Catego..	Malaysia	Myanmar ..	Thailand	Vietnam	Philippines	Indonesia	Singapore	Cambodia
Furniture	Bookcases	29.75%	-12.93%	-24.78%	-25.18%	-11.33%	16.49%	16.79%	18.34%
	Chairs	14.57%	-6.81%	-3.38%	1.27%	3.13%	-2.38%	32.66%	24.18%
	Furnishings	21.19%	-12.52%	-5.52%	10.42%	4.22%	4.65%	23.35%	19.72%
	Tables		-76.47%	-71.86%	-68.38%	-49.94%	-32.86%	10.99%	34.01%
Office Supplies	Appliances	16.49%	12.54%	5.86%	15.34%	3.71%	12.29%	33.95%	33.02%
	Art	39.11%	2.55%	-32.02%	8.26%	-38.36%	-6.85%	29.92%	
	Binders	30.99%	10.24%	3.99%	19.67%	15.12%	12.15%	23.74%	26.79%
	Envelopes	35.06%	8.59%	-49.90%	21.47%	-37.43%	-35.07%	29.65%	23.70%
	Fasteners	19.38%	7.90%	-46.31%	16.81%	-38.70%	-44.78%	18.94%	14.20%
	Labels	27.20%	9.16%	-36.45%	12.07%	-28.18%	-36.26%	18.79%	17.72%
	Paper	33.82%	6.11%	-43.21%	15.67%	-40.32%	-44.45%	22.12%	5.92%
	Storage	33.79%	28.64%	-28.18%	12.06%	-40.28%	9.31%	16.81%	12.80%
	Supplies	32.26%	8.76%	-48.43%	7.22%	-48.81%	-45.58%	16.82%	19.12%
Technology	Accessories	34.72%	-26.32%	-31.30%	-54.23%	-35.51%	-38.78%	21.16%	23.99%
	Copiers	33.22%	-21.87%	-12.12%	-9.63%	-12.93%	18.33%	19.73%	23.75%
	Machines	31.20%	6.38%	13.04%	9.67%	-6.78%	13.14%	40.04%	31.73%
	Phones	25.41%	0.99%	10.47%	14.54%	0.48%	11.48%	26.95%	18.06%

Figure 5.2 - Estimated Profit Margins Accross countries in SEA

Profit Margin: -3.95% – 40.77%

Category	Sub-Catego..	Malaysia	Myanmar ..	Thailand	Vietnam	Philippines	Singapore	Indonesia	Cambodia
Furniture	Bookcases	29.75%	23.50%	15.47%	15.20%	23.83%	16.79%	22.42%	18.34%
	Chairs	14.57%	22.03%	24.53%	27.93%	27.35%	32.66%	25.26%	24.18%
	Furnishings	21.19%	17.86%	22.97%	34.61%	28.16%	23.35%	30.40%	19.72%
	Tables		-3.95%	-1.23%	0.82%	10.03%	10.99%	15.16%	34.01%
Office Supplies	Appliances	16.49%	27.41%	21.86%	29.73%	18.16%	33.95%	27.20%	33.02%
	Art	39.11%	19.12%	15.70%	23.85%	10.47%	29.92%	22.00%	
	Binders	30.99%	25.50%	20.31%	33.33%	27.85%	23.74%	27.08%	26.79%
	Envelopes	35.06%	24.13%	4.28%	34.82%	11.07%	29.65%	13.75%	23.70%
	Fasteners	19.38%	23.56%	6.57%	30.96%	10.25%	18.94%	7.55%	14.20%
	Labels	27.20%	24.60%	12.87%	27.02%	17.06%	18.79%	12.99%	17.72%
	Paper	33.82%	22.07%	8.55%	30.01%	9.21%	22.12%	7.76%	5.92%
	Storage	33.79%	40.77%	18.15%	27.01%	9.23%	16.81%	24.73%	12.80%
	Supplies	32.26%	24.27%	5.22%	22.99%	3.71%	16.82%	7.04%	19.12%
Technology	Accessories	34.72%	19.34%	16.16%	1.51%	12.32%	21.16%	11.38%	23.99%
	Copiers	33.22%	17.44%	24.05%	25.74%	22.73%	19.73%	24.05%	23.75%
	Machines	31.20%	22.30%	27.83%	25.03%	19.91%	40.04%	27.91%	31.73%
	Phones	25.41%	17.82%	25.69%	29.07%	25.36%	26.95%	26.52%	18.06%

Figure 5.3- Actual Sales vs Estimated Sales for Tables in SEA

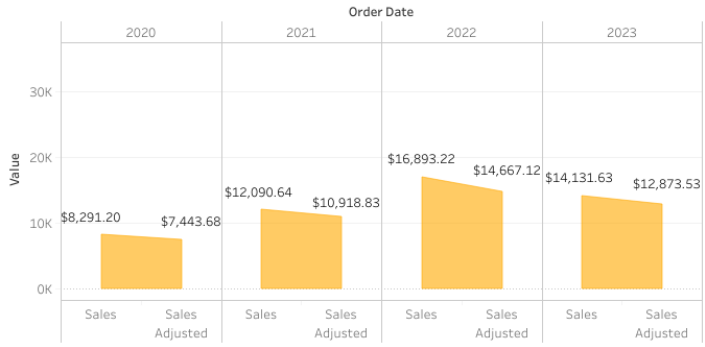
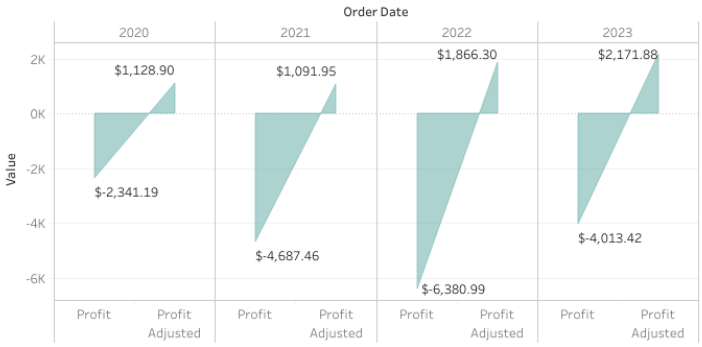


Figure 5.3- Actual Profit vs Estimated Profit for Tables in SEA



5.1 & 5.2 - Actual vs Estimated Profit Margins Across SEA Countries

Comparison between actual and estimated profit margins reveals the overall impact of enhancing discounting practices on profitability. Under the baseline scenario, Tables exhibit deeply negative margins across multiple Southeast Asian countries. The severity and consistency of negative margins across markets indicate that the issue is embedded in pricing and discount practices.

Under the estimated scenario, where discounts are set to 15%, profit margins improve considerably across most countries. Tables shift from substantial negative margins toward neutral or positive levels in many markets, demonstrating that pricing adjustments directly address the root cause of underperformance. Overall, the profit margin comparison reinforces that enhancing discounting practices can structurally restore profitability at the regional level.

5.3 & 5.4- Actual vs Estimated Sales and Profit Performance

The comparison of sales and profit further illustrates the trade-off introduced by discount reduction. Estimated sales are consistently lower than actual sales, ranging from an 8.91% to 12.77% decrease, indicating a decrease in demand when discounts are reduced. However, this decline remains relatively contained, with revenue levels stable throughout the period.

Actual profits remain negative across all years, whereas estimated profits consistently turn positive, with an average of 135.9% improvement, demonstrating structural recovery under regulated discounting. This indicates that the reduction in sales volume is outweighed by improvements in profit margin.

Together, the sales and profit comparison confirms that enhancing discounting practice produces a manageable revenue trade-off while delivering a substantial and sustained recovery in profitability.

Conclusion

The findings indicate that profitability in Southeast Asia can be fixed though enhancing the way discounts are given on products. The simulation results suggests that controlled reductions in discount levels improve profit margins substantially, with the decline in sales still being manageable. Hence the primary recommendation is to gradually reduce excessive discounting.

This scenario remains a simulation, and its accuracy depends on assumptions about demand changes when discounts are reduced. In real retail environments, customer response is not entirely linear and varies by country, segment, and competitive context. Although price elasticity is incorporated to reflect realistic customer behaviour, external factors such as competition and seasonality may influence the actual outcome.

Hence management should implement discount adjustments incrementally to approximately 15%, closely monitoring sales and profit, and refining discounting decision based on observed performance.